6.6.2 Debit note – the source document for returns outward

A 'debit note' is a document, bill or statement sent to the person to whom goods are returned. This statement informs that the supplier's account is debited to the extent of the value of goods returned. It contains the description and details of goods returned, name of the party to whom goods are returned and net value of the goods so returned with reason for return.



Student activity

Think: Do you think the supplier will accept the debit note sent by the customer, as it is? If not, why will he not accept?

Illustration 3

Enter the following transactions in the purchases returns book of Hari who is dealing in automobiles and post them into the ledger.

2017

Jan. 5 Returned to Anand 5 clutch plates @ ₹ 200 each, not in accordance with order.

Jan. 14 Returned to Chandran 4 brake shoes @ ₹ 200 each and 10 rear view mirrors @ ₹ 350 each, due to inferior quality.

Solution

In the books of Hari
Purchases returns book

Date	Particulars	Debit Note No.	L.F.	Amount		Remarks
				Details	Total	
2017						
Jan 5	**Anand**					Not in accordance with order
	5 clutch plates @ ₹ 200 each				1,000	
Jan 14	**Chandran**					
	4 brake shoes @ ₹ 200 each			800		Due to inferior quality
	10 rear view mirrors @ ₹ 350 each			3,500	4,300	
	Purchases Returns A/c Cr.				5,300	

Ledger Accounts

Dr. **Purchases returns A/c** **Cr.**

Date	Particulars	J.F.	Amount ₹	Date	Particulars	J.F.	Amount ₹
				2017 Jan 31	By Sundry creditors A/c		5,300

Dr. **Anand Account** **Cr.**

Date	Particulars	J.F.	Amount ₹	Date	Particulars	J.F.	Amount ₹
2017 Jan 5	To Purchases returns A/c		1,000				

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